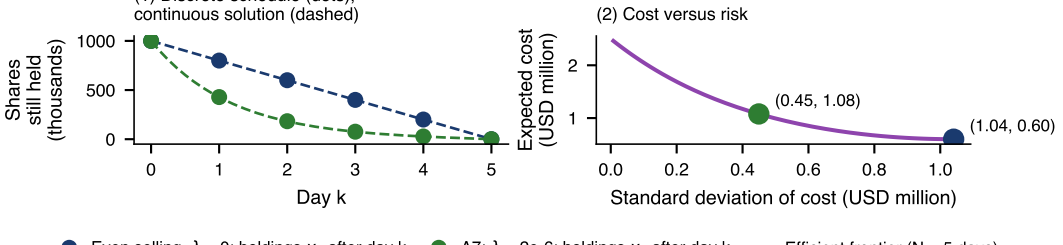
(1) Discrete schedule (dots),
continuous solution (dashed)
Shares
still held
(thousands)
1000
500
0
0
1
2
3
4
5
Day k
(2) Cost versus risk
Expected cost
(USD million)
2
1
(0.45, 1.08)
(1.04, 0.60)
0.0
0.2
0.4
0.6
0.8
1.0
Standard deviation of cost (USD million)
Even selling, λ = 0: holdings x_k after day k
A7: λ = 2e-6: holdings x_k after day k
Efficient frontier (N = 5 days)